the bank for a short period, obtained loans for himself and his friends in excess of ₹1 crore. Later the Secretary was authorized to make advances on shares which included in some cases a large part of the whole premium at which the shares were then selling. Advances were made on shares which had not been fully paid-up and the bank thus became liable for further calls.[18]

However, A.K. Bagchi is of the view that Roychund was not the sole instigator of corrupt practices. Blair acted on his own initiative in many cases, and in most of the big speculative schemes in which Indians were involved, the moving spirits and dominant partners were generally Europeans. Also, the inefficiency of Blair and his Deputy Robertson owed little to the direct influence of Roychund. The Commission found that unlike the Bank of Bengal which was carefully supervised, the Bank of Bombay was not supervised at all. When Blair left for England in April 1865, his greed and inefficiency had cost the Bank ₹1.53 crores in unrecovered advances. He was succeeded by Donald Robertson as Secretary, who too, had long been in Roychund's power largely due to his dependence on him for loans and speculation, and to whom he had shown favours at the bank's expense.

On April 26, 1866, Roychund was indebted to the bank to the tune of ₹23.5 lakhs. He informed Robertson on the same day that he needed ₹25 lakhs more to prevent imminent bankruptcy. A further ₹25 lakhs were advanced to Roychund on the security of his jewels and title deeds of his landed property. Roychund was declared insolvent in August 1866. The land and jewels realized much less than what they had been valued at. At the end of this sorry episode, Roychund owed the bank ₹24.73 lakhs which was irrecoverable. The Bank of Bombay had also helped the Asiatic Bank in similar difficulties. In July 1866, this bank owed the Bank of Bombay ₹12 lakhs with only ₹1 lakh of good negotiable securities to cover it. The Asiatic Bank was, however, allowed to continue drawing till September, when it failed owing ₹20 lakhs to the Bank of Bombay, covered by securities which were not negotiable and included the assignment of the stock on trade of a druggist and of claims on insolvent estates. In October, the Bombay Legislative Council passed an Act depriving the bank of the power to advance loans on shares. But by then the ruin of the bank was almost complete even though the Directors of the bank did not admit it.[19]